

FIN624 Quiz Fall 2014 Compiled by Tahreem

Under Social economic system, the only factor of production is:

▶ Select correct option:

- ☐ Entrepreneur
- ☐ Capital
- ☐ Land
- ☐ None of the above



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Equitable circulation of wealth is necessary for:

▶ Select correct option:

- ☐ Landlords

☐ Employees

☐ Interest based economy

☐ Well being of mankind

_____, not only those who have directly participated in the production of wealth but those to whom Allah has made it obligatory upon others to help, are the legitimate sharers in wealth.

▶ Select correct option:

☐ According to the Islamic point of view

☐ According to the socialism

☐ According to the capitalism

☐ None of the given options

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In _____ the man who invests Capital may himself run the business without the help of any partners or shareholders

▶ Select correct option:

- ☐ Private business
- ☐ Partnership
- ☐ Mudarabah
- ☐ Public Limited Company



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Social economic system encourages and takes steps for:

 **Select correct option:**

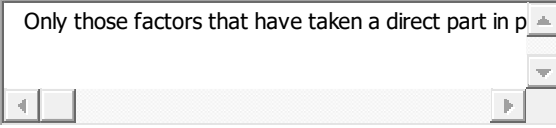
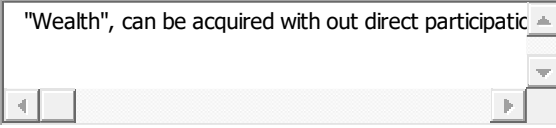
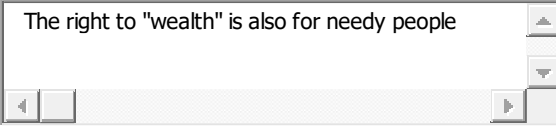
- ☐ Equal distribution wealth.
- ☐ Collective welfare.
- ☐ Both 1 & 2.
- ☐ None of the above.



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Which of the given options relates to materialistic economic systems?

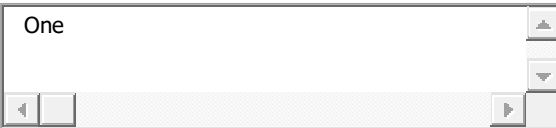
 **Select correct option:**

- ☐ Only those factors that have taken a direct part in p 
- ☐ "Wealth", can be acquired with out direct participati 
- ☐ The right to "wealth" is also for needy people 
- ☐ None of the given options 

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From the Islamic point of view the actual factors of production are

 **Select correct option:**

- ☐ One 
- ☐ Two 
- ☐ Three 
- ☐ Four 

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Which of the following is true about cost of product?

▶ Select correct option:

- ☐ Increase by using Capital economic system.
- ☐ Decrease by using Capital economic system.
- ☐ Increase by using Islamic economic system.
- ☐ Decrease by using Islamic economic system.



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entirely refute the right to private property.

▶ Select correct option:

- ☐ Islam
- ☐ Capitalism
- ☐ Socialism
- ☐ Hinduism

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Which economic system can truly solve the economic problem of the society?

 **Select correct option:**

☐	Capitalist	
☐	Islamic	
☐	Socialist	
☐	None of the given options	

 [Click here to Save Answer & Move to Next Question](#)

Circulation of wealth is encouraged in Islam because:

 **Select correct option:**

☐	It widens the gap between the poor and the rich	
☐	It creates monopolies	
☐	It bridges the gap between the poor and the rich	
☐	It creates inflation	

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Which one is the object of the Islamic system of the distribution of wealth?

 **Select correct option:**

☐	Enabling every one to get what is rightfully due to hi	
☐	Concentration of wealth in few hands	
☐	Creation of monopolies	
☐	None of the given options	
Click here to <u>S</u>ave Answer & Move to Next Question		

Under capitalist economy while distribution of wealth the “Land” being a factor of production, receives its share in the shape of _____

▶ Select correct option:

☐	Interest	
☐	Wages	
☐	Rent	
☐	Profit	
Click here to <u>S</u>ave Answer & Move to Next Question		

Individual interest is NOT more important than combined interest in in which of the following system?

▶ Select correct option:

☐	Capitalist	
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☐	Islamic	▲ ▼ ◀ ▶	
☐	Socialist	▲ ▼ ◀ ▶	
☐	None of the given options	▲ ▼ ◀ ▶	

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Which of the following factor of production, used in the process of production such that their original and external form remains unaltered?

 **Select correct option:**

☐	Capital	▲ ▼ ◀ ▶	
☐	Land	▲ ▼ ◀ ▶	
☐	Labor	▲ ▼ ◀ ▶	
☐	Entrepreneur	▲ ▼ ◀ ▶	

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_____ is defined as “natural resources”

Select correct option:

Capital

Land

Labour

Entrepreneur

Wealth under the _____ system is distributed only in the form of wages.

Select correct option:

Islam

Capitalism

Socialism

None of the above

If the investment comes from the first partner who is called "Rab-ul-Maal" while the management and work is an exclusive responsibility of the other partner, it will be the contract of:

Select correct option:

Partnership

Mudarabah

Joint ownership

Which one is the ideal mode of financing?

Select correct option:

Musharakah

Ijara

Salam

None of the given options

Which one is the object of the Islamic system of the distribution of wealth?

Select correct option:

Enabling every one to get what is rightfully due to him

Concentration of wealth in few hands

Creation of monopolies

None of the given options

A kind of Shirkat Ul Aqad in which all the partners jointly undertake to render some services for their customers is:

Select correct option:

Shirkat ul Amwal

Shirkat Ul Aamal

Shirkat Ul WujooH

Shirkat Ul Mufawada

Which form of riba is further classified as Sood-e-Mufrid and Sood-e-Murakkab?

Select correct option:

Riba an Nasiyah

Riba Al Fadl

Both Riba an Nasiyah and Riba Al Fadl

None of the given options

Under capitalist economy while distribution of wealth the “Entrepreneur” being a factor of production, receives its share in the shape of _____

Select correct option:

Interest

Wages

Rent

Profit

From the Islamic point of view the people who have right to wealth are of _____ kinds.

Select correct option:

Two

Three

Four

Five

Islam accepts all factors of production of capitalist economic system except:

Select correct option:

Capital

Labour

Land

Entrepreneur

Some Short notes from Various Compiled by Tahreem

Lecture:Lecture#1

This verse fully explains the Islamic point of view on the question of property. It places the following guidelines before us:

- 1 . Whatever wealth man does possess has been received from Allah.
- 2 . Man has to use it in such a way that his ultimate purpose should be the other world
- 3 . Since wealth has been received from Allah, its exploitation by man must necessarily be subject to the commandment of Allah.

Now, the Divine Commandment has taken two forms:-

- a . Allah may command man to convey a specified production of "Wealth" to another man. This Commandment must be obeyed, because Allah has done well to you, so He may command you to do good to others - "do good as Allah has done good to you".
- b . He may forbid you to use this "wealth" in a specified way. He has every right to do so because He cannot allow you to use "wealth" in a way which is likely to produce collective ills or to spread disorder on the earth.

Capitalism affirms absolute and unconditional right to the private property

Socialism totally denies the right to private property

Islam lies in between But the truth lies between these two extremes - that is Islam admits the right to private property but does not consider it to be an absolute and unconditional right that is bound to cause "disorder on the earth".

Socialism and Islam :

The things that exist in the universe are in principle the property of Allah Himself. Then, the larger part of these things is that which He has given equally to all men as a common trust. It includes fire, water, earth, air, light, wild grass, hunting, fishing, mines, un-owned and un-cultivated lands etc., which are not the property of any individual, but a common trust. Every human being is the beneficiary of this trust, and is equally entitled to its use.

If the Socialist system is adopted and all capital and all land are totally surrendered to the state, the ultimate result can only be this: we would be liquidating a large number of smaller Capitalists, and putting the huge resources of national wealth at the disposal of a single big Capitalist - the state, which can deal with this reservoir of wealth quite arbitrarily, thus, leads to the worst form of the concentration of wealth. Moreover, it produces another great evil. Since Socialism deprives human labor of its natural right to individual choice and control, compulsion and force becomes indispensable in order to make use of this labor, which has a detrimental effect on its efficiency as well as on its mental health. All this goes to show that the Socialist system injures two out of the three objects of the Islamic theory of the distribution of wealth namely, the establishment of a natural system of economy, and securing for everyone what rightfully belongs to him.

Islam has,thus, given a separate status to Capital and to Land, and has at the same time made use of the natural law of "supply and demand" too in a healthy form. Hence Islam does not distribute *wealth merely in the form of wages, as does Socialism, but in the form of profit and rent as well. But, along with it, Islam has also put an interdiction on the category of 'Interest', and prescribed a long list of the people who have a secondary right to wealth.* It has thus eradicated the great evil of the concentration of wealth, which is an essential characteristic inherent in Capitalism, an evil, which Socialism claims to remedy. This is the fundamental distinction of the Islamic view of the distribution of wealth, which sets it apart from Socialism.

Islam and Capitalism

By comparing and contrasting the brief outlines of the Islamic and the Capitalist systems of the distribution of wealth, we arrive at the following differences between the two:-

1. The entrepreneur, as a regular factor, has been excluded from the list of the factors of production, and only three factors have been recognized, instead of four. But this does not imply that the very existence of the entrepreneur has been denied. What it does mean is just that the entrepreneur is not an independent factor, but is included in any one of the three factors.
 2. It is not "interest" but "profit" that has been considered as the "reward" for Capital.
 3. The factors of production have been defined in a different manner. Capitalism defines 'Capital' as "the produced means of production." Hence, Capital is supposed to include machinery etc. as well, beside money and foodstuff. But the definition of "Capital" that we have presented while discussing the Islamic view of the distribution of wealth, includes only those things which cannot be utilized without their being wholly consumed, or, in other words, which cannot be let or leased - for example, money. Machinery is to be excluded from "Capital", according to this definition.
 4. In the same way, "land" has been defined in a more general way. That is to say, all those things have been brought under this head, which do not have to be wholly consumed in order to be used. Hence, machinery too falls under this category.
 5. The definition of Labor too has been generalized so as to include mental labor and planning.
- Let us now go into the details of this discussion. Under the Capitalist system, the most important

there are three ways in which Capital can be invested in a business venture:-

1. **Private business:** The man who invests Capital may himself run the business without the help of any partners or shareholders. In this case the return which he gets may be called "profit" from the legal or popular point of view; but, in economic terms, this "reward" would be made up of (1) "profit", in as much as Capital has been invested, and (2) "wages", as earnings of management.
2. **Partnership:** The second form of investment is that several persons may jointly invest capital, jointly manage the business and jointly bear the risk of profit and loss. In the terminology of the Fiqh, such a venture is called "Shirkat-ul-Aqd" or Partnership in contract.

Co-operation of Capital and Organization (Mudarabah): The third form of investment

is that one person may invest Capital while another may manage the business, and each may have a share in the profit. In the terminology of Fiqh, it is called "Mudarabah". According to the terminology of economics, in this case, the person who invests his capital ("Rabb-ul-Mal") will get his share in the form of "profit", while the person who has actually managed the business will get it in the form of "wages". But if the person who has been managing the business ("Mudarib") eventually suffers a loss in the business, his labor will go wasted just as the capital of the investor would go wasted.

Money Lending Business

The fourth form of investing Capital, which has ever since been practiced in non-Islamic societies, is the money-lending business. That is to say, one person lends out capital in the form of a debt, and a second person puts in his labor; if there is a loss it has to be borne by labor, but, profit or loss, interest does accrue to Capital in any case. Islam has interdicted this form of investment.

Goods market system According to Islam

The establishment of a practicable system of economy: -

The condition of "proper utilization" has been assumed because it is possible to make an improper use of forces, and it has been the case under Capitalism. Islam has struck at the very root of such an improper use and has thus eradicated the unbridled exploitation of private property.

Enabling everyone to get what is rightfully due to him:-

The second object of the Islamic system of the distribution of wealth is to enable everyone to get what is rightfully his. But, in Islam, the concept and criteria of this right is somewhat different from what it is in other systems of economy. Under materialistic economic systems, there is only one way of acquiring the right to "wealth", and that is a direct participation in the process of production.

b) Enabling every one to get what is rightfully due to him:-

The second object of the Islamic system of the distribution of wealth is to enable everyone to get what is rightfully his. But, in Islam, the concept and criteria of this right is somewhat different from what it is in other systems of economy. Under materialistic economic systems, there is only one way of acquiring the right to "wealth", and that is a direct participation in the process of production.

c) Eradicating the concentration of wealth:

The third object of the distribution of wealth, which Islam considers to be very important, is that wealth, instead of becoming concentrated in a few hands, should be allowed to circulate in the society as widely as possible, so that the distinction between the rich and the poor should be narrowed down as far as is natural and practicable. The attitude of Islam in this respect is that it has not permitted any individual or group to have a monopoly over the primary sources of wealth, but has given every member of the society an equal right to derive benefit from them. Mines, forests, un-owned barren lands, hunting and fishing, wild grass, rivers, seas, spoils of war etc., all these are primary sources of wealth. With respect to them, every individual is entitled to make use of them according to his abilities and his labor without anyone being allowed to have any kind of monopoly over them.

Project Financing:

Since musharakah or mudarabah would have been effected from the very inception of the project, no problem with regard to the valuation of capital should arise. Similarly, the distribution of profits according to the normal accounting standards should not be difficult. However, if the financier wants to withdraw from the musharakah, while the other party wants to continue the business, the latter can purchase the share of the former at an agreed price. In this way the financier may get back the amount he has invested along with a profit, if the business has earned a profit. The basis for determining the price of his share shall be discussed in detail later on (while discussing the financing of working capital).

On the other hand, the businessman can continue with his project, either on his own or by selling the first financier's share to some other person who can substitute the financier.

Since financial institutions do not normally want to remain partner of a specific project for good, they can sell their share to other partners of the project as aforesaid. If the sale of the share on one time basis is not feasible for the lack of liquidity in the project, the share of the financier can be divided into smaller units and each unit can be sold after a suitable interval. Whenever a unit is sold, the share of the financier in the project is reduced to that extent, and when all the units are sold, the financier comes out of the project totally.

Securitization of Musharakah:

Musharakah is a mode of financing which can be securitized easily, especially, in the case of big projects where huge amounts are required which a limited number of people cannot afford to subscribe. Every subscriber can be given a musharakah certificate which represents his proportionate ownership in the assets of the musharakah, and after the project is started by acquiring substantial non-liquid assets, these musharakah certificates can be treated as negotiable instruments and can be bought and sold in the secondary market. However, trading in these certificates is not allowed when all the assets of the musharakah are still in liquid form (i.e., in the shape of cash or receivables or advances due from others). For example, one hundred certificates, having a value of Rs. one million each, have been issued. It means that the total worth of the project is Rs. 100 million. If nothing has been purchased by this money, every certificate will represent Rs. one million. In this case, this certificate cannot be sold in the market except at par value, because if one certificate is sold for more than Rs. one million, it will mean that Rs. one million are being sold in exchange for more than Rs. one million, which is not allowed in Shari'ah, because where money is exchanged for money, both must be equal. Any excess at either side is riba.

In this case it will be allowed by the Shari'ah to sell these certificates in the secondary market for any price agreed upon between the parties which may be more than the face value of the certificate, because the subject matter of the sale is a share in the tangible assets and not in money only, therefore the certificates may be taken as any other commodities which may be sold with profit or at a loss.

Suppose, the Musharakah project contains 40% non-liquid assets i.e. machinery, fixtures etc. and 60% liquid assets, i.e. cash and receivables. Now, each musharakah certificate having the face value of Rs. 100/- represents Rs. 60/- worth of liquid assets, and Rs. 40/- worth of non-liquid assets. This certificate may be sold at any price more than Rs. 60. If it is sold at Rs. 110/- it will mean that Rs. 60 of the price are against Rs. 60/- contained in the certificate and Rs. 50/- is against the proportionate share in the non-liquid assets. But it will never be allowed to sell the certificate for a price of Rs. 60/- or less, because in the case of Rs. 60/- it will not set off the amount of Rs. 60, let alone the other assets.

However, most of the contemporary scholars, including those of Shafi'i school, have allowed trading in the units of the whole only if the non-liquid assets of the business are more than 50%. Therefore, for a valid trading of the musharakah certificates acceptable to all schools, it is necessary that the portfolio of musharakah consists of non-liquid assets valuing more than 50% of its total worth. However, if Hanafi view is adopted, trading will be allowed even if the non-liquid assets are less than 50%, but the size of the non-liquid assets should not be negligible.

Financing of a single transaction

Musharakah and mudarabah can be used more easily for financing a single transaction. Apart from fulfilling the day to-day needs of small traders, these instruments can be employed for financing imports and exports. An importer can approach a financier to finance him for that single transaction of import alone on the basis of musharakah or mudarabah. The banks can also use these instruments for import financing. If the letter of credit has been opened without any margin, the form of mudarabah can be adopted, and if the L/C is opened with some margin, the form of musharakah or a combination of both will be relevant. After the imported goods are cleared from the import, their sale proceeds may be shared by the importer and the financier according to a pre-agreed ratio.

In this case, the ownership of the imported goods shall remain with the financier to the extent of the ratio of his investment. This musharakah can be restricted to an agreed term, and if the imported goods are not sold in the market up to the expiry of the term, the importer may himself purchase the share of the financier, making himself the sole owner of the goods. However, the sale in this case should take place at the market rate or at a price agreed between the parties on the date of sale, and

not at pre-agreed price at the time of entering into musharakah. If the price is pre-agreed, the financier cannot compel the client / importer to purchase it.

Financing of the working capital

Non-liquid assets can also form part of the capital on the basis of evaluation. This view can be adopted here. In this way, the value of the business can be treated as the investment of the person who seeks finance, while the amount given by the financier can be treated as his share of investment. The musharakah may be effected for a particular period, like one year or six months or less. Both the parties agree on a certain percentage of the profit to be given to the financier, which should not exceed the percentage of his investment, because he shall not work for the business. On the expiry of the term, all liquid and non-liquid assets of the business are again evaluated, and the profit may be distributed on the basis of this evaluation.

For example, the total value of the business of A is 30 units. B finances another 20 units, raising the total worth to 50 units; 40% having been contributed by B, and 60% by A. It is agreed that B shall get 20% of the actual profit. At the end of the term, the total worth of the business has increased to 100 units. Now, if the share of B is purchased by A, he should have paid to him 40 units, because he owns 40% of the assets of the business. But in order to reflect the agreed ratio of profit in the price of his share, the formula of pricing will be different. Any increase in the value of the business shall be divided between the parties in the ratio of 20% and 80%, because this ratio was determined in the contract for the purpose of distribution of profit.

Since the increase in the value of the business is 50 units, these 50 units are divided at the ratio of 20-80, meaning thereby that 10 units will have been earned by B. These 10 units will be added to his original 20 units, and the price of his share will be 30 units.

Sharing in the gross profit only:

Let us take a practical example. Suppose a ginning factory has a building worth Rs. 22 million, plant and machinery valuing Rs. 2 million and the staff is paid Rs. 50,000/- per month. The factory sought finance of Rs. 5,000,000/- from a bank on the basis of musharakah for a term of one year. It means that after one year the musharakah will be terminated, and the profits accrued up to that point will be distributed between the parties according to the agreed ratio. While determining the profit, all direct expenses will be deducted from the income. The direct expenses may include the following:

1. The amount spent in purchasing raw material
2. The wages of the labor directly involved in processing the raw material
3. The expenses for electricity consumed in the process of ginning
4. The bills for other services directly rendered for the musharakah

Running Musharakah Account On the Basis of Daily Products:

However, keeping in view the basic principles of musharakah the following procedure may be suggested for this purpose:

- (i) A certain percentage of the actual profit must be allocated for the management.
- (ii) The remaining percentage of the profit must be allocated for the investors.
- (iii) The loss, if any, should be borne by the investors only in exact proportion of their respective investments.
- (iv) The average balance of the contributions made to the musharakah account calculated on

the basis of daily products shall be treated as the share capital of the financier.

(v) The profit accruing at the end of the term shall be calculated on daily product basis, and shall be distributed accordingly.

(vi) If such an arrangement is agreed upon between the parties, it does not seem to violate any basic principle of the musharakah. However, this suggestion needs further consideration and research by the experts of Islamic jurisprudence. Practically, it means that the parties have agreed to the principle that the profit accrued to the musharakah portfolio at the end of the term will be divided on the capital utilized per day, which will lead to the average of the profit earned by each rupee per day. The amount of this average profit per rupee per day will be multiplied by the number of the days each investor has put his money into the business, which will determine his profit entitlement on daily product basis.